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SOP NUMBER: SOP-OPSFIN-206

American Express Fine Hotels & Resorts (FHR) Credits

The purpose of this SOP is to provide guidance for accounting for American Express FHR credits.



APPLICABILITY

All Owned & Operated Hotels in the Americas that participate in luxury Consortia channel programs.

EXCLUSIONS/EXCEPTIONS

No exclusions / exceptions.

AMERICAN EXPRESS FHR CREDIT GUIDANCE

Reservations booked through Consortia channels (i.e., American Express Fine Hotels & Resorts) may include stay credits towards additional goods and services at the property (i.e., spa services, food and beverage credit, etc.). On the last day of the stay, Front Office must post an allowance to the guest folio to reflect the credit. The allowance will be recorded as a debit to **Contra Revenue** (438290) using the **Miscellaneous Income Department** (11500). An allowance code titled 'FHR Stay Credit' should be set up in OnQ PM and mapped in Operations Audit (OA) to the General Ledger Account **11500-438290**.

Front office must post an allowance equivalent to the used amount up to the value of the stay credit (i.e. \$100). For example, if the customer only spends \$75 in spa services then Front Office will post an allowance of \$75 vs. \$100 (this eliminates any breakage). If the customer spends the full \$100 stay credit at applicable outlets, then Front Office must post an allowance representing the full \$100 stay credit.

The property should record the revenue for goods or services utilized throughout the hotel's resort areas during a guest stay the same as any other guest, by using the applicable POS system and charging the retail value for the good or service. The stay credit allowance will then offset the room charge on the guest folio up to the \$100 value of the stay credit.

The objective of this procedure is to standardize the transaction treatment by documenting the retail value of the promotional revenue given to the customer in a separate account / department, which will allow for easier analysis as well as comply with GAAP Revenue Recognition rules. The treatment described above applies to all stay credit transactions / situations.

Since the individual operating departments will record revenues at normal retail values, the department P&L will show full revenue and expenses from these activities, therefore eliminating the need for any additional entries (i.e., cost credits, allocations back and forth between departments, etc.).

Listed below are examples of credits, usually availed as a one-time activity, per room/stay and in absolute dollar value:

- \$100 resort credit for any F&B, Spa Services, or other activities/purchases in the resort-designated areas
- \$100 spa credit toward Spa Services
- \$100 resort credit which may be applied toward Golf, Spa, or Recreation
- \$100 dining credit at a specified restaurant/outlet
- Centurion amenity: Additional \$200 Food and Beverage or Spa credit

Management Agreement Impact

If the hotel Management Agreement calculates any fees (Base Management Fee, Incentive Management Fee, Program Fees, Brand Services Fees, etc.) due to Hilton using a methodology that is **not** based on Total Revenue or Rooms Revenue (i.e., fees calculated on F&B or other outlet revenue), this treatment may have an impact on the calculation of the fees.

If the property determines that the above FHR Stay Credit treatment leads to an impact to the calculation of fees, the Finance Leader must review the impact to the calculation with the Regional Finance Director (RFD). Together, the Finance Leader and RFD will determine if an adjustment to the calculation needs implementing, or alternatively if an allocation of contra revenue to the impacted department needs to be established.